

AUDITED FINANCIAL RESULTS FOR THE YEAR ENDED 31 DECEMBER 2017

APPROVED BY THE BOARD OF DIRECTORS ON 30 APRIL 2018

CONDENSED CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DEC 2017

	2017 Shs'000	2016 Shs'000
REVENUE	2,005,767	2,309,091
COST OF SALES	(1,344,997)	(1,295,175)
GROSS PROFIT	660,770	1,013,916
OTHER INCOME	13,562	16,080
TOTAL INCOME	674,332	1,029,996
ADMINISTRATION EXPENSES	(1,484,191)	(1,372,886)
NET FOREIGN EXCHANGE LOSS	(13,341)	(42,167)
TOTAL EXPENSES	(1,497,532)	(1,415,053)
OPERATING LOSS BEFORE TAXATION	(823,200)	(385,057)
TAXATION (CHARGE)/ CREDIT	(18,228)	108,712
LOSS FOR THE YEAR	(841,428)	(276,345)
EXCHANGE DIFFERENCES FROM TRANSLATION OF FOREIGN OPERATIONS	(1,186)	(1,571)
TOTAL COMPREHENSIVE LOSS FOR THE PERIOD	(842,614)	(277,916)
	=====	=====
BASIC AND DILUTED EARNINGS PER SHARE FROM CONTINUING OPERATIONS*	(6.81)	(2.24)
	=====	=====
NO. OF SHARES	123,558,228	123,558,228

CONDENSED CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2017

	DEC 2017 Kshs'000	DEC 2016 Kshs'000
ASSETS		
Non Current Assets	670,009	921,560
Non Current Assets Held for Sale	133,397	-
Current Assets	749,429	1,360,120
TOTAL ASSETS	1,552,835	2,281,680
SHAREHOLDERS' FUNDS AND LIABILITIES		
Share Capital	308,896	308,896
Share Premium	548,803	548,803
Retained (Loss)/ Earnings	(504,610)	336,818
Translation Reserves	(23,071)	(21,885)
Shareholders' Funds	330,018	1,172,632
Non-current liabilities	286,352	281,966
Current Liabilities	936,465	827,082
TOTAL EQUITY AND LIABILITIES	1,552,835	2,281,680

CONDENSED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY AS AT 31 DECEMBER 2017					
	Share capital Shs '000	Share premium Shs '000	Retained earnings Shs '000	Translation reserve Shs '000	Total Shs '000
At 1 January 2016	308,896	548,803	674,909	(20,314)	1,512,294
Profit for the year	-	-	(276,345)	(1,571)	(277,916)
Other comprehensive income-Dividends Paid out	-	-	(61,746)	-	(61,746)
Total comprehensive income for the year	-	-	(338,091)	(1,571)	(339,662)
At 31 December 2016	308,896	548,803	336,818	(21,885)	1,172,632
At 1 January 2017	308,896	548,803	336,818	(21,885)	1,172,632
Profit for the year	-	-	(841,428)		(841,428)
Other comprehensive income/loss	-	-		(1,186)	(1,186)
Total comprehensive income for the year	-	-	(841,428)	(1,186)	(842,614)
Dividends Paid	-	-	-	-	-
At 31 Dec 2017	308,896	548,803	(504,610)	(23,071)	330,018
	=====	=====	=====	=====	=====

CONDENSED CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2017		
	2017 Sh'000	2016 Sh'000
Net cash generated from operating activities	(36,680)	346,389
Net cash used in investing activities	(97,069)	(132,031)
Net cash generated from/(used in) financing activities	35,275	(373,719)
Decrease in cash and cash equivalents	(98,475)	(159,361)
Cash & Cash Equivalents as at 1 January	(12,343)	136,724
Effect of exchange rates	7,429	10,294
Cash and cash equivalents at 31 December	(103,389)	(12,343)

Directors Note

The Group faced a challenging economic environment during the year 2017 in Kenya, its largest market, because of drought, high-energy prices, an extended electioneering period and a credit crunch caused by a reduction in bank lending to the private sector. As a result, Kenya's GDP in the first half of 2017 dropped to 5.0% compared to 6.3% for the same period in the previous year. The second half of 2017 saw the GDP reduce to 4.4% as the Country concluded its election cycle.

The formal retail sector in Kenya had further challenges that depressed its overall performance. These factors included:

- Over supply of formal retail property leading to cannibalization;
- Collapse of key anchor tenants that reduced customer footfall into shopping malls by over 60%; and
- Increased competition and change in customer shopping trends.

The Group also faced disruptions in its supply chain following the decision by Mr Price to reduce trading margins, which led to cash flow constraints that negatively affected performance of all brands. Thereafter, Mr Price initiated the purchase of the Mr Price brand and withdrew supply of product ahead of the busy Christmas period.

Consequently, the Group's revenues declined by KES 303M compared to the prior year. The MR Price brand alone contributed a decline of KES 324M with a margin loss of KES 154M as a result of discontinued supply of stock by the Franchisor. In addition, MR Price fixtures and inventory impairment amounted to KES 150.6M with an overall loss contribution of 78% to the bottom line. The business bore further impairment from discontinued operations of the Babyshop store at the Junction Mall and the Angelo store at the Sarit Centre of KES 15M. On the other hand, the F&F brand continued to post positive results across the chain with a Revenue of KES 131M in 2017.

The Board took drastic cost cutting actions in order to counter the drop in revenue including but not limited to a reduction in staff levels and back office operations. The full impact of these savings will be recorded in 2018. Operating costs are reported at KES 1.4B up from KES 1.3B in 2016. The increase in the operating costs by 8.1% is attributed to the new stores launched in 2016 whose full year impact was recorded in 2017.

Following the Shareholders' approval on Thursday, 5th April 2018 to dispose of the MR Price brand, the Board is confident that its new strategy for the period 2018 to 2021 will return the business to sustainable profitability. As part of the strategy, the Board has appointed a transaction advisor to restructure the capital base of the Group with a view to protecting and ensuring that existing brands are optimally traded.

Dividend

The Board does not recommend the payment of a dividend in respect of the Financial Year ended 31 December 2017.

Annual General Meeting

The Annual General Meeting of the Company will be held at the Southern Sun Mayfair Hotel, Parklands Road, Nairobi on Friday, 29 June 2018 at 11.00 a.m.

By ORDER OF THE BOARD

J.L.G. MAONGA

COMPANY SECRETARY

NAIROBI

DATE: 30 APRIL 2018

INDEPENDENT AUDITORS' REPORT ON THE SUMMARY FINANCIAL STATEMENTS

TO THE SHAREHOLDERS OF DEACONS (EAST AFRICA) PLC

Opinion

The accompanying summary of consolidated financial statements of Deacons (East Africa) PLC and its subsidiaries (the "Group"), which comprise the summary statement of consolidated financial position as at 31 December 2017, the summary of consolidated statement of profit or loss and other comprehensive income, a summary of consolidated changes in equity and a summary of consolidated cash flows for the period then ended, are derived from audited financial statements of the Group for the year ended 31 December 2017.

In our opinion, the accompanying summary of consolidated financial statements are consistent, in all material respects, with the audited financial statements of the Group, in accordance with the requirements of the Capital Markets (Securities) (Public Offers, Listings and Disclosures) Regulation, 2002 ("the Regulations") as applicable to summary financial statements.

Summary of consolidated financial Statements

The summary of consolidated financial statements does not contain all the disclosures required by the International Financial Reporting Standards as applicable to annual financial statements. Reading the summary of consolidated financial statements and the auditors' report thereon, therefore, is not a substitute for reading the audited financial statements of the Group and the auditors' report thereon.

The Audited financial Statements and our report thereon

We expressed an unmodified audit opinion on the audited financial statements in our report dated 30 April 2018. That report also includes:

- A Material Uncertainty Related to Going Concern Section that draws attention to note 3 in the audited financial statements. Note 3 of the audited financial statements indicate that the board commenced a turnaround plan to address the working capital risks which the Group is facing. These events or conditions, along with other matters as set forth in Note 3, indicate that a material uncertainty exists that may cast significant doubt on the Group's ability to continue as a going concern. These matters are addressed in note 3 of the audited Group financial statements.
- The communication of other key audit matters as reported in the auditors' report on the audited consolidated and company financial statements. Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated and company financial statements of the current period.

Directors' responsibility for the summary of the Group financial statements

The Directors are responsible for the preparation of the summary of the Group financial statements in accordance with the requirements of the Capital Markets (Securities) (Public Offers, Listings and Disclosures) Regulation, 2002 Requirements as applicable to summary financial statements.

Auditors' responsibility

Our responsibility is to express an opinion on whether the summary of the Group financial statements are consistent, in all material respects, with the audited financial statements based on our procedures, which were conducted in accordance with International Standard on Auditing (ISA) 810 (Revised), Engagements to Report on Summary Financial Statements.

The engagement partner responsible for the audit resulting in this independent auditors' report is CPA Anne Muraya- (P/No 1697).

Deloitte & Touche

Certified Public Accountants (Kenya)

Nairobi, Kenya

30 April 2018